

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$187.20 ▼ 0.19%	12M Price Target \$215.00	52-Week Range \$61.44 – \$329.88	Market Cap \$168.02B
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MRVL: China Competition Fears Create Buying Opportunity

WHAT HAPPENED

- Stock is flat today (\$187, -0.19%) but the tape is nervous — semis got hit overnight on fears that Chinese chip competition is heating up. Translation: investors worry Chinese firms are catching up in AI chips, which could eat into what US players like MRVL charge.
- Zoom out though — MRVL just ripped from \$163 to \$187 in three sessions (a 14% bounce). So today's flatness is really the market digesting a big move, not a rejection of the story.

WHY IT MATTERS

The China competition scare is likely overdone for MRVL specifically — their crown jewel is custom silicon for Amazon (Trainium chips) and Microsoft, which are US hyperscaler relationships that Chinese competitors literally cannot touch due to export controls. If anything, more US-China tech decoupling is a tailwind here, not a headwind, because it forces American cloud giants to double down on domestic silicon partners. The options flow tells you smart money agrees — a 0.47 put/call ratio with unusual call buying at the \$220 and \$235 strikes for August expiry means big players are betting on more upside in the next few weeks. What to watch: the stock sits at just 47% of its 52-week range (\$61-\$330), meaning there's massive room to run if sentiment flips back.

POLICY & POLITICAL WATCH

The CHIPS Act 2.0 discussions and the ongoing Section 301 tariff review on Chinese semiconductors are the biggest political levers right now — any tightening of export controls on advanced AI chips to China is a net positive for MRVL because it entrenches their position with US hyperscalers. On the flip side, watch for retaliatory Chinese restrictions on rare earths or semi materials, which could squeeze margins. The Trump administration's push for "Made in America" chip manufacturing has been broadly friendly to Marvell since they design domestically and manufacture with TSMC in Arizona — that's a durable tailwind through at least 2027.

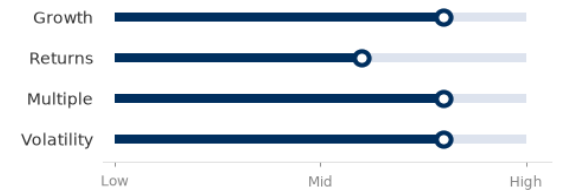
IS IT EXPENSIVE?

At \$168B market cap with ~\$8B in revenue this year, you're paying about \$20 for every \$1 of revenue — that's premium territory, but AI silicon peers like Broadcom trade even richer. On forward earnings, roughly 65x means investors are paying \$65 today for every \$1 the company will earn next year — expensive, but justified IF the custom silicon business scales like bulls think (that would mean earnings basically double again in FY28). The valuation is really a bet on the AI capex cycle continuing — if hyperscaler spending keeps growing 30%+ annually, this is reasonable; if it plateaus, the multiple compresses fast.

Key Data

Price (USD)	\$187.20
12M Price Target	\$215.00
Upside / (Downside)	+14.9%
Market Cap	\$168.02B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	65.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



MRVL — Marvell Technology, Inc. | August 03, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$210.00	\$192.00	\$165.00
6 Months	\$250.00	\$215.00	\$155.00
1 Year	\$290.00	\$230.00	\$140.00
2 Years	\$350.00	\$260.00	\$130.00
5 Years	\$500.00	\$340.00	\$150.00
10 Years	\$800.00	\$500.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.72%) and Consumer Discretionary (+1.82%) — money is flowing into growth/AI-adjacent names as investors bet the Fed stays accommodative. Tech is up modestly but semis are the weak link today.

COOLING OFF: Materials and Financials are lagging — commodity weakness and a flatter yield curve are the culprits. Industrials mixed as tariff uncertainty lingers.

ROTATION WATCH: Money is rotating INTO software/services and OUT of hardware semis today on China fears. This is likely a short-term dislocation — the AI infrastructure story hasn't changed, just the sentiment.

RELATED PLAY: If you like MRVL's custom silicon angle, look at the picks-and-shovels — Cadence (CDNS) and Synopsys (SNPS) provide the design software MRVL uses, and they win regardless of which chip designer takes market share.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The clear leader in custom AI silicon — their Google TPU relationship is the template MRVL is trying to replicate with Amazon.
- ALAB (Astera Labs): Connectivity chips for AI datacenters — riding the same wave as MRVL and heading into earnings, which could set the tone for the whole space.

MRVL CONTEXT: MRVL is lagging Broadcom on the multiple but has more room to re-rate higher if custom silicon revenue surprises. Being at only 47% of its 52-week range while AI names broadly are near highs tells me MRVL is a catch-up trade waiting to happen — the setup favors buyers here.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — bullish on the custom silicon story and policy tailwinds, but the valuation and China noise keep me from pounding the table.

POSITION SIZE: 3-5% of portfolio — enough to matter if it works, small enough that a semi cycle downturn doesn't wreck you.

ENTRY POINTS: I'd add on any pullback to \$170-180 driven by China headlines — those dips have consistently been bought. Chasing above \$200 short-term is risky given how fast it just ran.

TIME HORIZON: 12-24 months — the catalyst is custom silicon revenue ramp becoming visible in earnings reports through 2026-27.

WHEN TO BAIL: If Amazon signals any pullback on Trainium, if a hyperscaler guides down capex, or if the stock breaks \$150 on volume — that would tell me the thesis is broken.

HEDGING: Simplest hedge is to buy a put option 10-15% below current price for 3-6 months out — costs a bit of premium but protects you if the China fears escalate into something real. Or just size the position smaller.